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The Politics of Monetary Autonomy

IT WAS GENERALLY BELIEVED THAT the delay in the establishment of the RBI, with attempts at securing legislation having failed in 1927, and again in 1928, was the result of differences in the Legislature on the question of ownership and Directorate of the bank. The government wanted a shareholders' bank whereas the legislators were in favour of state-ownership. This is the official view in the history of the RBI, and one which was faithfully echoed by E.P.W. da Costa in his account of the RBI's first fifty years. However, later research, notably by Rajul Mathur and G. Balachandran shows that the delay in the formation of the RBI was the result of stalling by the India Office which wanted to retain ultimate control over money and finance once the constitutional reforms engendered by the Government of India Act, 1935, took effect. The India Office was opposed to divesting the government of control over monetary and exchange policies, preferring, should it become unavoidable, a central bank under government control. It appears that the real agenda of the India Office was to retain control of India's currency and exchange policies and it was this motive which informed their every action.

The India Office placed its trusted men in key positions, the best examples of which were Sir James Grigg, the Finance Member, whose vertebrae in Montagu Norman's words was not 'loose' and who could be relied upon to be 'independently orthodox',[1] and Sir James Taylor who became Deputy Governor when the bank was set up. The recommendations of the Hilton Young Commission were implemented selectively to suit the